AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

Course Code B325

MTA / Version: A

Fall 2025-2026

Managing Across Organisational and Cultural Boundaries

19-November-2025

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examin
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Part 1: Case Study (50 Marks)

Starbucks' Expansion in China

When Starbucks entered China in the late 1990s, it faced a market dominated by tea culture. Tea was deeply embedded in Chinese traditions, social rituals, and daily life, while coffee was considered exotic and unfamiliar. Western-style cafés were not part of mainstream consumer behavior, and the idea of paying premium prices for a beverage was unusual.

To succeed, Starbucks realized it could not simply replicate its American model. In the United States, the culture of speed, convenience, and individualism led to cafés designed for takeaway customers and quick service. In China, however, the collectivist culture emphasized family, friends, and group gatherings. Starbucks redesigned its stores as social spaces where people could meet, study, or hold informal business discussions.

Product adaptation was also crucial. Starbucks introduced localized menu items such as green tea lattes, mooncakes during the Mid-Autumn Festival, and red bean frappuccinos to appeal to local tastes. These products reflected Chinese culinary traditions while reinforcing Starbucks' innovative global brand. The company also worked with local suppliers and joint venture partners to navigate regulatory requirements and strengthen its presence in key cities.

Another strategic move was cross-cultural management. Starbucks trained its managers in cultural sensitivity, teaching them to understand and respect local customs. Hierarchical management approaches were adopted to align with Chinese workplace expectations, contrasting with the more egalitarian structures familiar in the U.S.

The results of these strategies were significant. By 2025, Starbucks had expanded to over 6,000 stores in China, making it the company's second-largest market after the United States. It became a lifestyle symbol for young professionals and students, representing modernity and global connectivity.

Looking ahead, Starbucks faces increasing competition from domestic brands such as Luckin Coffee and HeyTea, both of which offer innovative beverages and digital platforms. Sustainability has also become a pressing issue, with Chinese consumers expecting global brands to commit to environmentally friendly practices. Starbucks continues to explore digital innovations such as mobile ordering, partnerships with WeChat Pay, and sustainability programs in sourcing and store operations.

Q1a. How did cultural differences between the U.S. and China affect Starbucks' expansion strategy? (25 Marks)

Q1b. What steps can global managers take to develop accurate cultural profiles for new markets? (25 Marks)

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Part 2 & 3: Essay Questions (25 Marks Each)

Q2. Critically analyze how global technological advancements, such as artificial intelligence and data privacy regulations, are transforming multinational corporations' strategic decisions. Provide examples.

Q3. Critically analyze how multinational corporations manage environmental sustainability in emerging markets. What trade-offs exist between economic development and global commitments?

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